

Digital Business



Topic 8

Privacy, Ethics and Law

Learning Objectives

8.1 Understand why e-commerce raises ethical, social, and political issues.

8.2 Understand basic concepts related to privacy and information rights, the practices of e-commerce companies that threaten privacy, and the different methods that can be used to protect online privacy.

8.3 Identify major public safety and welfare issues raised by e-commerce.

Understanding Ethical, Social, and Political Issues in E-commerce

- Internet, like other technologies, can:
 - Enable new crimes
 - Affect environment
 - Threaten social values
- Costs and benefits must be carefully considered, especially when there are no clear-cut legal or cultural guidelines



A Model for Organizing the Issues

- Issues raised by Internet and e-commerce can be viewed at individual, social, and political levels
- Four major categories of issues:
 - Information rights
 - Property rights
 - Governance
 - Public safety and welfare

Privacy and Information Rights

- Privacy
 - Moral right of individuals to be left alone, free from surveillance or interference from other individuals, organizations, or state
- Information privacy: 4 premises
 - Right to control information collected about them
 - “Right to be forgotten”
 - Right to know when information is collected and give consent
 - “Informed consent”
 - Right to personal information due process
 - Right to have personal information stored in a secure manner

Privacy in the digital age

“Protecting privacy will become harder as information is multiplied and shared ever more widely among multiple parties around the world. As more information regarding individuals' health, financials, location, electricity use, and online activity percolates, concerns arise regarding profiling, tracking, discrimination, exclusion, government surveillance, and loss of control.”

(Tene and Polonetsky, 2013: 251)

Information Collected by Websites

- Data collected includes
 - Personally identifiable information (PII)
 - Anonymous information
- Types of data collected
 - Name, address, phone, e-mail, social security
 - Bank and credit accounts, gender, age, occupation, education
 - Preference data, transaction data, clickstream data, browser type

NEWS IN BRIEF

Woman Stalked Across 8 Websites By Obsessed Shoe Advertisement

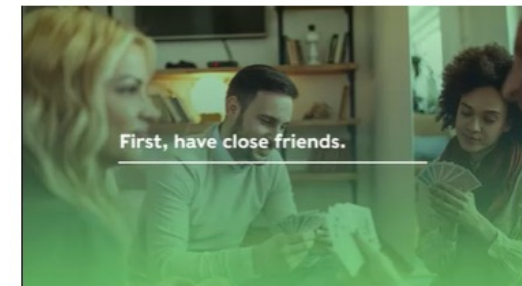
10/12/15 10:29AM • SEE MORE: NEWS ▾



LAWRENCEVILLE, GA—Expressing her growing unease at repeatedly spotting the same picture and text lurking in the corners of her favorite webpages, local woman Laura Spelman confirmed Monday that she has been stalked across eight different sites by an obsessed Nine West shoe advertisement. “When I first saw the ad for the black ballet flats in my Facebook news feed, it seemed harmless enough, but then I went to check the forecast on Weather.com and it was waiting there for me—it’s really kind of disturbing,” said Spelman, adding that she has taken to scrolling away from the fanatical ad as fast as possible whenever she catches sight of it. “I thought it was over when I started reading



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Key Issues in Online Privacy of Consumers

- Top concerns
 - Profiling and ad targeting
 - Social network privacy
 - Sharing of information by marketers
 - Mobile phone privacy
 - Digital assistant privacy

Marketing: Profiling, Behavioral Targeting, and Retargeting (1 of 2)

- Profiling
 - Creation of data images that characterize online individual and group behavior
 - Anonymous profiles
 - Personal profiles
 - Facial recognition a new dimension
- Advertising networks
 - Track consumer and browsing behavior on Web
 - Dynamically adjust what user sees on screen
 - Build and refresh profiles of consumers
- Google's new privacy policy

Marketing: Profiling, Behavioral Targeting, and Retargeting (2 of 2)

- Business perspective:
 - Increases effectiveness of advertising, subsidizes content
 - Enables sensing of demand for new products
- Critics' perspective:
 - Undermines expectation of anonymity and privacy
 - Enables price discrimination

Ethical Consideration...

From boyd and Crawford's 'Critical Questions for Big Data':

- “Just because it is accessible does not make it ethical”
(2012: 671-673)

Basic Ethical Concepts

- Ethics
 - Study of principles used to determine right and wrong courses of action
- Responsibility
- Accountability
- Liability
 - Laws permitting individuals to recover damages
- Due process
 - Laws are known, understood
 - Ability to appeal to higher authorities to ensure laws applied correctly

Analyzing Ethical Dilemmas

- Process for analyzing ethical dilemmas:
 1. Identify and clearly describe the facts
 2. Define the conflict or dilemma and identify the higher-order values involved
 3. Identify the stakeholders
 4. Identify the options that you can reasonably take
 5. Identify the potential consequences of your options

Facebook Contagion Study



Experimental evidence of massive-scale emotional contagion through social networks



“We show, via a massive ($N = 689,003$) experiment on Facebook, that emotional states can be transferred to others via emotional contagion, leading people to experience the same emotions without their awareness. We provide experimental evidence that emotional contagion occurs without direct interaction between people (exposure to a friend expressing an emotion is sufficient), and in the complete absence of nonverbal cues.”
(Kramer et al., 2014: 8788)

Social Networks: Privacy and Self-Revelation

- Social networks
 - Encourage sharing personal details
 - Pose unique challenge to maintaining privacy
- Facebook
 - Massive database
 - Serving ads to users not on Facebook
 - Sharing information with third parties
- Personal control over personal information vs Organization's desire to monetize social network

Technology Solutions

- Solutions include
 - Intelligent Tracking Protection (ITP)
 - Differential privacy software
 - Privacy default browsers
 - Message encryption
 - Spyware blockers
 - Pop-up blockers and ad blockers
 - Secure e-mail, anonymous remailers
 - Cookie managers
 - Public key encryption

Limitations on The Right to Privacy (1 of 2)

- Law enforcement and surveillance
- Edward Snowden and NSA Prism program
- Legislation that strengthens ability of law enforcement to monitor Internet users without their knowledge
 - CALEA, USA Patriot Act, Cyber Security Enhancement Act, Homeland Security Act, USA Freedom

Limitations on The Right to Privacy (2 of 2)

- Apple's iPhone 6 and encryption controversy
- Supreme Court cases limiting law enforcement's ability to obtain data from mobile phones without a warrant
 - Riley v California
 - United States v Jones
- Use of personal data by government agencies is widespread

Who Governs the Internet and E-commerce?

- Mixed mode environment
 - Self-regulation, through variety of Internet policy and technical bodies, co-exists with limited government regulation
- ICANN : Domain Name System
- Internet can be easily controlled, monitored, and regulated from a central location

Net Neutrality

- All Internet activities charged the same rate, regardless of bandwidth used
- Netflix and YouTube together consume about 50% of bandwidth in United States
- Prior to 2015, ISPs could throttle high-volume users
- February 2015, FCC ruled that broadband ISPs should be viewed and regulated as public utilities
- Under Trump administration, net neutrality regulations have been repealed, but many states are attempting to reinstate them via state laws and regulations

The Internet Drug Bazaar Extends Around the Globe – Rise of Dark Web

- What's wrong with buying prescription drugs online, especially if the prices are lower?
- What are the risks and benefits of online pharmacies?
- Should online pharmacies require a physician's prescription?
- How do online pharmacies challenge the traditional business model of pharmacies and drug firms?
- What are the challenges in regulating online pharmacies?
- Who benefits and who loses from online pharmacies?

Questions??

